

The Credibility Gap:

How Turkey's Central Bank Lost and Tried to Reclaim Monetary Authority

When a central bank raises interest rates, the conventional expectation is that inflation will fall. Yet this mechanism depends on something more fundamental than the rate decision itself: the belief, held by markets and households alike, that the central bank is capable of and committed to following through. It was this question—what happens when that belief collapses—that first drew my attention to the Turkish case. Having spent years researching Turkey's macroeconomic profile and publishing academic essays on its inflation dynamics, I came to a striking conclusion: the country's inflation crisis was not primarily the product of a miscalculated interest rate. It was the product of a decade's worth of eroded institutional credibility.

Between 2019 and 2023, Turkey dismissed five different Central Bank governors—none completing their four-year term. Each removal sent the same signal to financial markets: monetary policy was not being driven by economic analysis, but by political preference. This pattern of political interference culminated in a particularly striking episode in March 2021, when President Erdoğan dismissed the Central Bank governor overnight after the bank raised rates to 19 percent. The lira lost 8 percent of its value by morning. The governors who followed proceeded to reverse course, cutting rates even as inflation accelerated—a policy trajectory shaped by the unorthodox belief, repeated in official communications, that high interest rates cause inflation rather than suppress it.

The consequences were severe. By December 2021, the lira had fallen from 9 to 18 per dollar within a single month. By mid-2022, official annual inflation had exceeded 85 percent. But what made this episode analytically significant was not the scale of the collapse alone. The more important observation is that it cannot be explained by interest rate policy in isolation. The deeper mechanism was the destruction of credibility itself: once markets ceased to believe that the central bank would act in accordance with economic logic, even technically correct policy adjustments became insufficient. Expectations—already unanchored—continued to drive inflation upward regardless of what the bank announced.

This points to a broader principle in modern macroeconomics. Monetary policy does not operate through interest rates alone; it operates through expectations. When individuals and investors believe that a central bank will succeed in reducing inflation, they adjust their behavior accordingly—moderating wage demands, pricing decisions, and investment strategies in ways that themselves help bring inflation down. The converse is equally powerful: when

credibility is absent, the self-fulfilling dynamics of inflation expectations can sustain price growth even in the face of nominal tightening. Turkey's experience between 2021 and 2023 provides a textbook illustration of this second scenario. Inflation became a self-reinforcing process precisely because no institutional anchor remained to hold expectations in check.

Following the 2023 elections, Turkish economic policy began a visible shift toward orthodox approaches. Interest rates were raised substantially, and there were clear signals of an intention to realign policy with mainstream economic reasoning. These were meaningful steps. Yet credibility, once lost, is not recovered through a single policy cycle. Rebuilding institutional trust requires sustained consistency—consistent behavior, consistent communication, and consistent insulation of monetary policy from political cycles. Whether Turkey's central bank can achieve this under current political conditions remains an open question. The structural vulnerabilities that enabled the original credibility collapse—the absence of meaningful central bank independence, the politicization of appointments, the lack of rule-based frameworks—have not been fully addressed.

The Turkish case ultimately offers a lesson that extends well beyond its borders. Monetary policy is not merely a technical exercise in setting interest rates; it is an institutional practice that depends on public and market trust. A central bank without credibility is a central bank without effective tools—even its most technically sound decisions will fail to produce the expected outcomes if the actors it is trying to influence no longer believe in its independence or competence. This is why institutional integrity is not a soft, secondary concern in macroeconomic policy. It is, in many respects, the policy itself.